

Case Study

Stochastic Processes - Mathematics

1. Overview

This session introduces case study within Stochastic Processes. It sets out the definitions used, the situations in which the material applies, and how it connects to the surrounding weeks of the module.

2. Key ideas

The central ideas of case study are developed from first principles and then applied to worked examples. Emphasis is placed on the conditions under which each result holds, since applying a result outside its hypotheses is the most frequent source of error.

3. In practice

Exercises for this week apply case study to problems of the kind met in assessment. Working them alongside the notes, rather than afterwards, is the intended use of this material.